BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA

Order Instituting Rulemaking Regarding Transportation Electrification Policy and Infrastructure.	Rulemaking 23-12-008 (Filed December 14, 2023)

REPLY COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON THE ADMINISTRATIVE LAW JUDGE'S RULING INITIATING TRACK 1 AND INVITING PARTY COMMENT

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In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission ("Commission"), the Vehicle-Grid Integration Council ("VGIC") hereby submits these reply comments on the *Administrative Law Judge's Ruling Initiating Track 1 and Inviting Party Comment* filed June 3, 2024 by Administrative Law Judges ("ALJ") Marcelo Lins Poirier and Colin Rizzo.

I. INTRODUCTION.

As shown in Opening Comments, the Transportation Electrification ("TE") Rebate Program remains important to support the adoption of electric vehicles ("EV"), especially in underserved and disadvantaged communities. Many parties expressed their continued support for the program.[1] As summarized by East Yard Communities for Environmental Justice, Sierra Club, and Union of Concerned Scientists, "The justification for the TE Rebate Program remains strong, policy changes in California since November 2022 only reinforce the need for infrastructure support, and pausing the program would do nothing to address the issues raised."[2]

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[1] *See* Opening Comments from Advanced Energy United; Association of Bay Area Governments and County Of Ventura; California Association of Small and Multi-Jurisdictional Utilities; CALSTART; ChargePoint; Center for Sustainable Energy; Clean Coalition; East Yard Communities for Environmental Justice, Sierra Club, and Union of Concerned Scientists; GRID Alternatives; Green Power Institute; PowerFlex; Voltera; Vote Solar.
[2] East Yard Communities for Environmental Justice, Sierra Club, and Union of Concerned Scientists Opening Comments at 1.

A walk-back of the TE Rebate program will also diminish confidence in Commission programs, and businesses will interpret the action as an indication that funds can be walked back even years after unanimous Commission approval. As summarized by ChargePoint, "For service providers [...] and for customers that rely and wait on these programs, inconsistency of funding is a major problem. The perception that incentive programs for EV charging are fickle adds risk to EV charging projects in the eyes of potential applicants, which discourages investment."[3] This is especially true for customer segments facing additional barriers to charging access, including the multi-unit dwellings ("MUD") and small fleets in disadvantaged communities for which the TE Rebate Program was conceived. As multiple parties have highlighted, this comes at a time when the state is implementing significant zero-emission vehicle mandates through Advanced Clean Cars 2, Advanced Clean Trucks, and Advanced Clean Fleets.[4] Instead of pausing the TE Rebate Program, VGIC agrees with the Center for Sustainable Energy ("CSE") that "the Commission has an opportunity to provide certainty and confidence in the TE sector, support California's EV infrastructure deployment goals, and provide targeted support to those market segments that are most reliant on incentive support."[5]

Therefore, VGIC continues to oppose the pausing of the TE Rebate program and recommends that the Commission continue to develop this program, and reiterates that the program should prioritize vehicle-grid integration ("VGI") strategies to maximize the ratepayer benefits yielded from the program. In Opening Comments, some parties suggested that support for

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[3] ChargePoint Opening Comments at 14.
[4] *See* CALSTART Opening Comments at 7, County of Los Angeles Opening Comments at 8, Powering America's Commercial Transportation ("PACT") Opening Comments at 4, Voltera Opening Comments at 4.
[5] CSE Opening Comments at 21.

customer-side infrastructure is unnecessary or that funds would be better spent elsewhere. In response, VGIC provides the following comments:

- Support for customer-side costs is still needed beyond the existing suite of authorized TE programs.
- The TE rebate program must support grid-benefiting vehicle-grid integration ("VGI") solutions.

II. SUPPORT FOR CUSTOMER-SIDE COSTS IS STILL NEEDED BEYOND THE EXISTING SUITE OF AUTHORIZED TE PROGRAMS.

Cost remains a major barrier to the adoption of EVs generally, and certain segments still require outside financial support for customers to electrify their vehicles or fleets. In 2023, PG&E noted that "fleet electrification projects are still very costly when considering the vehicles, chargers, and any out-of-pocket infrastructure expenditures, even when current grants and credits are taken into consideration, which presents a barrier to participation for many customers."[6] Exact costs can vary depending on the site and types of chargers being installed, but chargers and associated infrastructure cost hundreds of thousands of dollars.

For this reason, rebates for customer-side or behind-the-meter ("BTM") infrastructure remain critical to supporting the deployment of EVs. The investor-owned utilities ("IOU") make-ready programs, including Pacific Gas and Electric's ("PG&E") EV Fleet program, Southern California Edison's ("SCE") Charge Ready Transport program, and San Diego Gas and Electric's ("SDG&E") Power Your Drive can provide support for up to 80% of BTM costs for customer-owned equipment. This support has been crucial to customer deployment of charging stations and,

[6] PG&E's Annual SB 350 Report filing for Standard Review Programs, EV Fleet Program Summary served on June 28, 2024 at 1.

even so, a lack of funding for BTM infrastructure has prevented projects from moving forward. For example, PG&E has run up against caps that have prevented the EV Fleet program from providing financial support for BTM infrastructure and "project delays and cancellations have been driven by a failure to secure adequate funding for BTM infrastructure [...] greater BTM support from the EV Fleet Program in the form of increased BTM incentives [...] would also help to address these issues."[7] For this reason, PG&E has found that "adequate" BTM would cover 80% of costs at around $157,000 per site, instead of the current average rebate of $53,000 for customer-owned equipment.[8] In sum, the financial support for BTM equipment that would be provided by the TE Rebate program is critical to the adoption of EVs, and therefore, VGIC continues to oppose a pause in the TE Rebate Program.

However, if the TE Rebate Program is paused, the Commission should consider extending the sunset dates of the current Funding Cycle 0 ("FC0") programs discussed above beyond December 31, 2026. As discussed by SDG&E, "these programs play an essential role in enabling TE and reducing greenhouse gas emissions to meet statewide goals."[9] The TE Rebate program was designed to replace these individual programs and would provide a backstop even if individual charging port deployment targets were not met by individual IOUs. If the TE Rebate program is paused, VGIC agrees with SDG&E that "the Commission should remove the FC0 sunset date and allow programs to be extended long enough to meet per se reasonableness requirements with previously approved funding."[10]

III. THE TE REBATE PROGRAM MUST SUPPORT GRID-BENEFITING, VEHICLE-GRID INTEGRATION TECHNOLOGIES.

[7] PG&E Advice Letter 7121-E submitted December 28, 2023 at 8-9.
[8] Ibid at 9.
[9] SDG&E Opening Comments at 8.
[10] Ibid.

As discussed by VGIC in Opening Comments, financial support is still needed for customers to adopt new TE technologies and VGI solutions that can support the grid, and we believe that the TE Rebate Program is an important vehicle to ensure that customers can access these technologies and solutions. Pacific Gas and Electric ("PG&E"), in Opening Comments, states that California needs to "[realize] EVs as an effective grid asset via VGI at scale, beyond current pilot and R&D efforts."[11] PG&E further states that "VGI and the pilots, programs, and infrastructure needed to enable these EVs benefits all customers with increasing reliability, resiliency, and affordability."[12] VGIC strongly agrees with PG&E's statements regarding VGI. However, VGIC believes that rather than pausing the TE Rebate Program to re-focus on VGI, as recommended by PG&E, the TE Rebate Program must continue and be developed as a tool to directly support VGI deployment.

Customer-sited equipment is needed to enable VGI solutions, including Automated Load Management ("ALM"), often referred to as EV Energy Management Systems ("EV EMS"), solutions enabling Flexible Service Connection and interim/bridge/phased energization, Load Control Management Systems ("LCMS"), and technologies used to implement Limited Load Profiles ("LLP").[13] In D.22-11-040, the Commission specifically allowed the IOUs to utilize TE Rebate program funding for ALM-specific rebates after the release of a study on the cost-savings provided by ALM and Energy Division Staff recommendations on how to pursue the ALM rebate. While the study has not been released yet, VGIC does anticipate that findings will show cost savings from ALM in line with other preliminary findings. For example, PG&E has seen ALM

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[11] PG&E Opening Comments at 3.
[12] Ibid at 3-4.
[13] **VGIC urges the Commission to establish standard terms and definitions for these elements.** See *Comments of VGIC on ALJ's Ruling Providing Two Working Group Reports and Directing Responses to Questions on Reports.* July 8, 2024. R.21-06-017. Pages 4-5.

provide cost savings of $30,000 to $200,000 per project in its EV Charge Network program.[14] ALM can also provide other benefits, including enabling the energization of chargers at a lower capacity while grid upgrades are being constructed, as is being enabled by PG&E's Flexible Service Connection and SCE's LCMS pilots. This will allow the rate-base to increase more quickly, which is key to EVs providing wider ratepayer benefits that were highlighted by many parties in Opening Comments.

The Commission did set general load management capabilities for equipment as "a central objective as load management capability was a requirement of any funded installation."[15] D.22-11-040 requires the IOUs "to work with each customer to develop a load management plan, which the IOU should formally approve."[16] This load management plan would be required for systems receiving TE Rebate funds and would ensure that customers engage with utilities to discuss which types of equipment and VGI strategies work best for them. As highlighted by Advanced Energy United, "This requirement in turn is expected to help develop the managed charging experience and capability of industry, customers, and the utilities, resulting in a greater penetration and utilization of load management capability than would exist without the TE Rebate Program."[17]

Furthermore, the TE Rebate Program is critically needed to support the deployment of bidirectional charging equipment. Today, the bidirectional charging market remains relatively nascent. This is partially due to the high costs of customer-side equipment and infrastructure associated with bidirectional charger deployment. While PG&E offers residential and commercial customers up to $3,000 and $5,000, respectively, in upfront incentives for bidirectional charger

[14] *Pacific Gas and Electric Company's (U 39 E) Annual Vehicle-Grid Integration Strategies Report for 2023*, filed on March 15, 2024 at 15.
[15] Advanced Energy United Opening Comments at 4.
[16] D.22-11-040 at 177.
[17] Advanced Energy United Opening Comments at 4.

deployment, no other IOU offers direct customer cost support that recognizes the incremental costs of deploying a bidirectional charger site compared to a unidirectional charging site.[18] Moreover, these key PG&E incentives would sunset upon the conclusion of its VGI Pilots, which may occur as early as September 2025. With this in mind, the TE Rebate program should not be paused or discontinued to move funds toward VGI programs. Rather, the TE Rebate program provides an important venue to incentivize VGI, including through incremental incentives for bidirectional charging equipment and an ALM/LCMS systems rebate.

IV. CONCLUSION.

VGIC appreciates the opportunity to provide these reply comments on the Ruling. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

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Date: July 18, 2024

[18] PG&E. *Vehicle-to-Everything (V2X) pilot program.* https://www.pge.com/en/clean-energy/electric-vehicles/getting-started-with-electric-vehicles/vehicle-to-everything-v2x-pilot-programs.html. Accessed July 16, 2024.